

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)



Sales
866,750

-57% Last month 2,012,136



Gross Margin
866,750

-57% Last month 2,012,136



Operating Profit
132,244

-94% Last month 2,332,623



Break Even Sales
734,506

329% Last month -320,487



Accounts Receivable
3,955,588

-28% Last month 5,512,204



Accounts Payable
615,119

-53% Last month 1,302,419



Working Capital
3,340,470

-21% Last month 4,209,785



Closing Stock
0

0% Last month 0



Bs Category
53 - SHAKY

-20% Last month 66 - STEADY



Impact Of Decisions
255,735

143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business has grown its total equity from ₹1.22 crore in April to ₹1.05 crore in November, while total assets have fluctuated, ending at ₹1.15 crore. Profitability has been volatile, with a high of ₹23.89 lakh in October and a loss of ₹3.60 lakh in September. Sales in November were ₹8.67 lakh, down from a peak of ₹20.12 lakh in October, indicating revenue inconsistency.

GREEN FLAG BOX — What's Working Well

- Strong profitability in October with a Net Profit of ₹23.89 lakh and a Net Profit % of 119.
- Healthy cash position improved from ₹47.27 lakh in October to ₹55.25 lakh in November.
- Robust Reserve & Surplus grew significantly from ₹45.75 lakh in April to ₹90.82 lakh in November.

RED FLAG BOX — What Needs Attention

- High debtor days increased from 64 days in April to 139 days in November, indicating slower collections.
- Volatile monthly profits, including a loss of ₹3.60 lakh in September and a low profit of ₹97,230 in August.
- Negative cash flows from operating activity in several months, including -₹25.04 lakh in October.

Strategic Advice:

Prioritise reducing debtor days to improve cash flow and stabilise monthly revenue. Implement stricter credit control and follow-up processes to convert sales into cash more efficiently.

2. Profit Power — The Earning Engine

Your sales have been volatile, starting at ₹12.36 lakh in April, dipping to ₹4.40 lakh in June, and peaking at ₹20.12 lakh in October before falling to ₹8.67 lakh in November. Despite this, you have maintained a 100% gross margin throughout the period, as COGS is zero. This indicates your primary profit driver is sales volume, not cost of goods.

Your net profit has fluctuated significantly, from a high of ₹23.89 lakh in October to a loss of ₹3.60 lakh in September. The main expense issue is the volatility in Employee Benefit Expenses, which swung from -₹4.22 lakh in October to ₹9.09 lakh in September, heavily impacting your monthly profitability. Overheads as a percentage of sales have also been erratic, ranging from -16% to 172%.

Your operating profit margin shows a similar pattern of highs and lows, from 116% in October to -72% in September. The return on equity was exceptionally high at 280% in October but was negative at -55% in September. This inconsistency points to challenges in managing operational costs relative to your sales income.

Strategic Advice:

Stabilise your employee costs and overheads to create predictable profitability. Focus on converting your high gross margin into consistent net profit by managing your operational expenditure more effectively.

3. Cash Flow Quality — Profit vs Real Cash

Your profit after tax for the period was ₹2.98 lakh in November, down from ₹7.69 lakh in April. However, cash flow from operating activities was ₹8.69 lakh in November, a significant improvement from negative ₹23.30 lakh in April.

The primary cash blockage is in debtor collection. Accounts receivable days increased from 64 days in April to 139 days in November, indicating slower collections. Trade receivables were ₹39.56 lakh in November, up from ₹26.15 lakh in April.

Cash flow from financing was a net outflow of ₹71,044 in November, compared to a large inflow of ₹1.06 crore in April. Your net cash flow for the period was ₹7.98 lakh in November, recovering from negative ₹64.75 lakh in May.

Strategic Advice:

Prioritise reducing your debtor days from 139 to below 90 days to unlock significant working capital. The high reliance on financing inflows in April has shifted, but consistent operating cash generation is needed to support growth.

4. Cash Management — Daily Cash Rhythm

Your debtor collection period (Accounts Receivable Days) has increased significantly from 64 days in April to 139 days in November. This indicates a major slowdown in converting sales to cash. The working capital days have followed a similar trend, rising from 64 days to 139 days.

Your working capital requirement per ₹100 of sales has also grown, from ₹188 in April to ₹385 in November. This means more cash is now tied up in operations for the same level of sales. The cash conversion cycle is under pressure.

Your cash balance shows volatility, starting at ₹65.74 lakh in April, dipping to ₹98,946 in May, and ending at ₹55.25 lakh in November. Operating cash flow has been inconsistent, with significant outflows in months like April (₹-23.30 lakh) and October (₹-25.04 lakh).

Strategic Advice:

Prioritise aggressive debtor collection to reduce the 139-day collection period. This is critical to improve cash inflows and stabilise your working capital cycle. Simultaneously, review vendor payment terms to better align outflows with your cash collection rhythm.

5. Growth Investments — Where Money Is Going

Your capital expenditure on fixed assets was ₹17.24 lakh in April and increased slightly to ₹17.82 lakh by November. Non-current investments, however, declined from ₹15.47 lakh in April to ₹3,431 from May onwards, indicating a significant divestment or write-down.

The Return on Capital Employed shows high volatility, from 89% in April to 21% in November. The Return on Total Assets was 40% in April but dropped to 9% by November, suggesting capital efficiency has decreased over the period.

Net Operating Assets stood at ₹56.76 lakh in April and were ₹51.30 lakh in November. The Asset Turnover ratio was 2 in April and 1 in November, indicating a slowdown in how efficiently assets generate sales.

Strategic Advice:

The sharp decline in non-current investments requires review. Consider reallocating freed-up capital into productive fixed assets or working capital to improve the declining asset turnover. Focus on projects that can sustain the higher returns on capital seen in months like October (331%).

6. Funding Story — How Growth Is Being Financed

Your business is primarily financed through equity. Total Equity increased from ₹1.22 crore in April to ₹1.05 crore in November. Unsecured long-term borrowings remained minimal, increasing slightly from ₹77,143 to

₹1.25 lakh. There are no secured borrowings or interest costs.

The company has a strong net cash position, with Net Debt consistently negative, improving from -₹64.97 lakh in April to -₹54.01 lakh in November. This indicates your cash reserves exceed all debt obligations. The Debt to Equity ratio is 0, showing no reliance on borrowed funds for financing.

Cash flows from financing were a major source of funds in April (₹1.06 crore inflow) but have been variable since, with an outflow of ₹71,044 in November. Operating cash flow has been inconsistent, turning positive in June (₹16.37 lakh) and November (₹10.02 lakh) but negative in other months.

Strategic Advice:

Your capital structure is very conservative with negligible debt. This is low-risk but may limit growth capital. Consider exploring low-cost, secured credit lines to fund larger orders or Capex, as your strong equity and cash position will support favourable terms. Stabilise operating cash flows to reduce reliance on financing activities for liquidity.

7. Balance Sheet Health — Financial Fitness

Your total equity has grown from ₹1.22 crore in April to ₹1.05 crore in November, showing a strong owner's stake. The company maintains a very low debt profile, with total debt at only ₹1.25 lakh in the latest month.

The current ratio, a key liquidity measure, improved from 24 in April to 12 in November, indicating sufficient short-term assets to cover liabilities. Your working capital stood at ₹33.40 lakh in November, down from a peak of ₹42.10 lakh in October.

Return on Equity was volatile, reaching 280% in October but settling at 34% in November. Asset health is stable, with fixed assets at ₹17.82 lakh and a significant portion of assets in receivables and cash.

Strategic Advice:

While liquidity is strong, the high debtor days of 139 in November require attention to improve cash conversion. Consider tightening credit terms to align working capital more closely with your sales cycle.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If debtor days are reduced from 139 days (Nov) to 64 days (Apr), the working capital release of ₹15.57 lakh (Nov) could boost monthly profit by 62% (Apr Net Profit %).
- **Scenario B - Cash Focus:** If vendor payments are extended to match the 0 days payable, the monthly cash outflow of ₹6.87 lakh (Nov) could be preserved, improving the cash balance from ₹55.25 lakh (Nov).
- **Scenario C - Balanced:** Combining a 50% reduction in debtor days with controlled overheads at 49% (Apr level) could lift the Return on Equity from 34% (Nov) towards 76% (Apr) while maintaining a positive cash flow.

9. Operational Insight Engine — Ground-Level Trends

Sales performance has been volatile, starting at ₹12.36 lakh in April, dipping to a low of ₹4.40 lakh in June, and peaking at ₹20.12 lakh in October before settling at ₹8.67 lakh in November. The business operates with a 100% gross margin, as no cost of goods sold is recorded, but overheads have fluctuated significantly, impacting net profit.

Working capital management shows a challenge in debtor collections. Accounts receivable days increased from 64 days in April to 139 days in November, indicating a longer cash conversion cycle. The working capital requirement per ₹100 of sales was ₹188 in April and rose to ₹385 by November.

Operational cash flow has been inconsistent, with negative outflows in several months. The cash position saw a major drop from ₹65.74 lakh in April to ₹98,946 in May, but recovered to ₹55.25 lakh by November. The company's asset base remains stable, with fixed assets at ₹17.82 lakh in November, similar to the ₹17.24 lakh in April.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
------	-------	--------	--------	---------

Days	Focus	Action	Target	Benefit
0-30	Cash	Reduce debtor days from 139 days (Nov) to below 100 days by improving collection processes.	Increase cash balance from ₹55.25 lakh (Nov) to over ₹60 lakh.	Improve cash flow from operations, which was ₹8.69 lakh in Nov but negative in prior months.
31-60	Profit	Stabilise monthly net profit after the volatile performance (e.g., ₹23.89 lakh in Oct, ₹2.98 lakh in Nov).	Achieve a consistent monthly net profit of at least ₹5 lakh.	Increase Reserve & Surplus, which grew from ₹45.75 lakh (Apr) to ₹90.82 lakh (Nov).
61-90	Growth	Leverage the high Return on Equity of 34% (Nov) to fund sustainable sales growth.	Increase monthly sales from ₹8.67 lakh (Nov) towards the peak of ₹20.12 lakh (Oct).	Strengthen Total Equity, which improved from ₹1.22 crore (Apr) to ₹1.05 crore (Nov).